

9713.T pitch deck

PITCH — 9713.T — VERDICT

ADJUDICATED 2026-08-20 — EXIT-LEAN HOLD — position acquired on a fabricated price; carry leg refuted; decisive fact unverified

Royal Hotel Ltd. (9713, Tokyo). Recorded position: 800 shares at ¥933.77 (¥747,016). Last market price in the evidence pack: ¥901 (Yahoo, 2026-08-21 build) — about 3.5% below our recorded cost.

What we believe

Royal Hotel is a Japanese hotel operator that appears to be worth less than the cash sitting inside it. It has essentially no debt (debt ratio 0.01, verified). It holds roughly ¥11.66 billion of cash against a market value of somewhere between ¥13.8bn and ¥18.7bn — which means between 62% and 84% of what you pay for the whole company comes back to you as cash on the balance sheet. The hotels themselves are being handed to you for between ¥2.1bn and ¥7.0bn against roughly ¥2.5bn of trailing operating profit.

That is the entire case. It is a balance-sheet case, not a business case. The hotel operation earns a 3.5% operating margin, loses money in two quarters out of four, and is being asked to compete with Marriott, Four Seasons and Hyatt in Osaka.

We believe it *may* be cheap. We do not currently believe it enough to own it, because the two numbers that decide whether it is 62% cash or 84% cash — and whether the ¥11.66bn is free or already spoken for — are both unresolved.

What the market believes

The market believes the cash is not really yours. That is the standard Japanese small-cap discount, and here it has a specific, named form: the company has a ¥13.5 billion renovation programme in front of it. ¥13.5bn is more than ¥11.66bn. If the company pays for that renovation out of its own cash, the “net cash” is not net cash — it is a construction budget that happens to be sitting in a bank account, and the stock is roughly fairly priced.

The market also does not believe the profits are durable. Trailing operating profit was earned during a peak in inbound tourism that included the Osaka World Expo. The Expo closed on 2025-10-13. With a 3.5% margin and a fixed cost base, a modest fall in occupancy or a modest rise in wages takes operating profit to zero.

And the market is paid almost nothing to wait: the dividend is about ¥6 per share, a yield of roughly 0.67%.

Why we might have edge

One reason, and it is genuinely a good one if it holds: press reporting from 2024 around a sale of the Rihga Royal Osaka suggests the renovation may be funded by an outside partner — BGO, in an asset-light structure alongside an IHG Vignette affiliation. If a third party funds the ¥13.5bn, then the ¥11.66bn of cash is unencumbered, the company becomes a fee-earning operator instead of a capital-consuming owner, and the discount the market is applying is being applied to the wrong risk.

That is a fact about a specific transaction, disclosed in Japanese, in documents most non-Japanese investors will not read. It is exactly the kind of thing that stays mispriced.

The second possible edge is arithmetic, not insight: the share count is genuinely ambiguous in the data we have, and if the low count is right the stock is at 0.58x book with 84% of its value in cash, which is a materially better security than the 0.78x / 62% version.

Why it might be priced in

The BGO funding claim is **unverified**. Not disputed — unverified. No primary document in our record says who writes the cheque for the ¥13.5bn. Everything above rests on that sentence.

Beyond that, the bear case is mostly confirmed:

- The Expo demand surge is over, and it was over ten months before our own court sat.
- Two of the last four quarters were operating **losses** (Jul–Sep –¥175m, Jan–Mar –¥706m). This is a violently seasonal business.
- A 3.5% margin gives no protection against Japanese hospitality wage inflation, which is currently the most reliable cost trend in the country.
- Governance is entrenched and shareholder returns are token. A company that will not pay out cash is a company whose cash may never become yours, no matter what the balance sheet says.

What we checked ourselves

Claim	How checked	Found	Confirmed?
No debt	kabutan company page, 2026-08-20 JST	Debt ratio 0.01	Yes
Dividend yield 2.4% (our own blue bench)	Live dividend per share vs. price	~¥6 DPS on ~¥903 = 0.67% . Our bench overstated the income by 3.6x	No — our error
“Imminent Osaka 2025 Expo demand surge” (our own blue bench)	Expo 2025 official calendar	Expo closed 2025-10-13 , ten months before the court sat. Our blue bench overturned a red fatal finding using a stale fact. That overturn is void , and the bear’s peak-tourism timing case stands unanswered	No — our error, and it was decisive

Claim	How checked	Found	Confirmed?
Seasonality is severe (red bench)	Quarterly operating profit series	Directionally confirmed: Jul–Sep – ¥175m, Jan–Mar –¥706m, Oct–Dec + ¥1,368m	Yes
Trailing operating profit ~¥2.5bn “carried by Oct–Dec”	Added the quarters up ourselves	The three quoted quarters sum to + ¥487m . To reach ¥2.5bn, Apr–Jun must be roughly + ¥2.0bn — which would make Apr–Jun, not Oct–Dec, the quarter that carries the year. Either the trailing figure covers a different period or the “Oct–Dec is decisive” framing is wrong	No — internal contradiction, unresolved
EV/EBIT of 1.9x (red bench)	Recomputed at ¥901 under both share counts	We get 0.85x (15.3m shares) or 2.8x (20.7m shares). 1.9x implies ~18.2m shares, which is neither. Red’s headline multiple is not reproducible from our data	No — our error
Share count	kabutan’s own two lines	Book value per share of ¥1,151 implies ~ 20.7m shares (net cash 62% of market value, 0.78x book). The market-cap line implies ~ 15.3m (84%, 0.58x book). Both come from the same page	No — unresolved, and it is the decisive number
BGO funds the ¥13.5bn renovation	Attempted primary search; budget exhausted	Directionally consistent with 2024 press reporting on the Rihga Royal Osaka sale. The load-bearing detail — who pays — is confirmed by nothing in our record	No — unverified
“Limit set 53% above the real price”	Arithmetic against the price history	$¥933.77 \div 1.53 \approx \textbf{¥610}$, which is below the 52-week low of ¥870. The 53% figure and the current price range cannot both describe the same date. The fill price is fabricated; the <i>size</i> of the fabrication is not yet pinned down	Partly — the fabrication is real, the magnitude is not established
Do we actually hold it?	Desk book poll in the evidence pack	Book reads held="NO POSITION" orders="NONE" . The likely explanation is that IBKR carries no Tokyo Stock Exchange entitlement for us, so a TSE position would not appear. That also means we have not verified we can sell it	No — position and exit route both unreconciled

The honest summary of that table: our own bear bench was roughly right, our own bull bench made two factual errors (one stale, one 3.6x), and the number that decides the case is one we have not looked up.

PROPOSED ENTRY BANDS

There is no entry. No adds under any circumstance until the two open questions below are closed. The court’s reopen gates, reproduced verbatim:

- BGO capex-funding confirmed from a primary doc (IR release/tanshin note) -> re-court

- Share count from tanshin cover: if ~15.3M (net cash 84%/P-B 0.58) thesis strengthens; if ~20.7M it weakens
- Oct-Dec print carries the year — no seasonal-trough extrapolation either way

Exit mechanics (from the adjudication, not from either bench): exit the 800 shares unless *both* the BGO funding question and the share-count question resolve favourably from primary documents within one session. Sizing on any re-entry is not set — it cannot be, until we know which company we are buying.

Price levels. Neither bench produced exit math, so these are derived from the price history in the evidence pack and are labelled as such, not as bench output:

- **¥870** — the 52-week low. A break through it says the market is repricing the operating business. Sell without waiting for the answers.
- **¥933.77** — our recorded cost. On an unfavourable resolution, this is the exit-at-flat level.
- **¥970** — the 26-week high. If the stock reaches it while both questions are still open, sell into the strength.

Catalyst dates. The evidence pack has no confirmed next-print date. Working from the standard Japanese March-year-end calendar, all unconfirmed:

- **~2026-08-14** — first-quarter (Apr–Jun) results. **This has probably already been published and we have not read it.** Its cover page carries the share count. This is the single highest-value action available today.
- **~2026-11-13** — second-quarter (Jul–Sep) results. Historically a loss quarter; do not read a loss as deterioration.
- **~2026-02-12** — third-quarter (Oct–Dec) results, the quarter the year has been hanging on — subject to the arithmetic contradiction flagged above.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 870.0 (deck-provisional: 52-week low; a break says the operating business is being repriced — exit the 800 shares without waiti)
- dated pack 9713.T|2026-08-14: 9713.T: Apr-Jun quarterly results, likely already published and unread; cover page resolves the share count (date confirmed=False)
- dated pack 9713.T|2026-11-13: 9713.T: Jul-Sep quarterly results, historically an operating loss quarter — do not read the loss as deterioration (date confirmed=False)
- dated pack 9713.T|2026-02-12: 9713.T: Oct-Dec quarterly results, the quarter the year is said to hang on, subject to the unresolved trailing-profit arithmetic (date confi

What remains unverified

1. **Who funds the ¥13.5bn renovation.** The whole bull case. Unverified.
2. **The share count** — ~15.3m or ~20.7m. Moves net cash between 84% and 62% of market value and price-to-book between 0.58x and 0.78x.
3. **Whether trailing operating profit is really ~¥2.5bn**, and which quarter carries the year. Our own quarterly figures do not add up to the trailing number.
4. **Revenue and margin base.** The 3.5% margin implies roughly ¥71bn of revenue. That is derived, not read from a filing.
5. **The true fill price and how the fabricated limit was generated.** We know the ¥933.77 came from a price that did not exist. We do not know the mechanism, and until we do, every other position sourced the same way is suspect.
6. **Whether we hold the position, and whether we can sell it.**

Where these get resolved. The quarterly results (tanshin) and annual securities report are filed to EDINET, the Japanese regulator's disclosure system: <https://disclosure2.edinet-fsa.go.jp/> — search issuer code 9713. Timely disclosures, including any release naming the renovation funder, appear on TDnet: https://www.release.tdnet.info/inbs/I_main_00.html. The Expo closing date is on the organiser's own site: <https://www.expo2025.or.jp/en/>. The aggregator our verification annex actually used was <https://kabutan.jp/stock/?code=9713> — which is a secondary source, and is itself the origin of the share-count contradiction. **Nothing in this deck was fetched during this session; the URLs above are where the unverified items must be closed, not evidence that they have been.**

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